AQA A-level Business 7132 - specification map

Every part of the 7132 subject content, with the knowledge organiser that covers it. All ten units can be assessed on all three papers. 85 organisers in total. The models named in the specification are also collected in the Business models and theories set, and every calculation is in the Formulas set.

Unit 3.1 What is business?

KO	Knowledge organiser	Spec	What it covers	Calculations / models
1	**Why Businesses Exist, Mission & Objectives**	3.1.1	Why businesses exist; mission and objectives; why objectives are set; profit, growth, survival, cash flow, social and ethical objectives	
2	**Measuring Profit**	3.1.1	Revenue, fixed costs, variable costs, total costs; why profit matters	Revenue, total costs, profit
3	**Forms of Business**	3.1.2	Sole traders, Ltd, plc; public and private sector; non-profit; social enterprises; liability; ordinary share capital; changing form	
4	**Shareholders, Share Price & Ownership**	3.1.2	Why shareholders invest; influences on share price and why changes matter; market capitalisation; dividends; ownership and objectives	Market capitalisation
5	**The External Environment: Costs & Demand**	3.1.3	Competition, market conditions, incomes, interest rates, demographic factors, environmental issues and fair trade	

Unit 3.2 Managers, leadership and decision making

KO	Knowledge organiser	Spec	What it covers	Calculations / models
1	**Management & Leadership Styles**	3.2.1	Management v leadership; autocratic, paternalistic, democratic, laissez-faire; influences; effectiveness	
2	**The Tannenbaum Schmidt Continuum**	3.2.1	The continuum and how to use it	Tannenbaum Schmidt
3	**Scientific & Intuitive Decision Making**	3.2.2	Data v intuition; risk, reward, uncertainty, opportunity cost; influences on decisions	
4	**Decision Trees**	3.2.2	Constructing and interpreting decision trees; value and limitations	Expected value, net gain
5	**Stakeholders: Needs, Overlap & Conflict**	3.2.3	Stakeholder needs; overlap and conflict; why needs are considered	
6	**Stakeholder Mapping & Managing Relationships**	3.2.3	Power and interest; communication and consultation	Stakeholder mapping

Unit 3.3 Marketing management

KO	Knowledge organiser	Spec	What it covers	Calculations / models
1	**Marketing Objectives**	3.3.1	Sales volume and value, market size, market and sales growth, market share, brand loyalty	
2	**Market Research & Sampling**	3.3.2	Primary and secondary; qualitative and quantitative; random, stratified and quota sampling	

Unit 3.3 Marketing management

KO	Knowledge organiser	Spec	What it covers	Calculations / models
3	**Market Data**	3.3.2	Market size, growth and share; correlation, confidence intervals, extrapolation; using data in planning	Market growth, sales growth, market share, market size
4	**Price & Income Elasticity of Demand**	3.3.2	Interpreting PED and YED; effect on revenue; value to marketers (no elasticity calculation needed)	Revenue changes
5	**Segmentation, Targeting & Positioning**	3.3.3	Demographic, geographic, income and behavioural segmentation; niche and mass; market mapping	Market mapping
6	**The 7Ps & an Integrated Mix**	3.3.4	Elements of the mix; industrial and consumer products; influences on an integrated mix	
7	**Product: Life Cycle, Extension & NPD**	3.3.4	Product life cycle; extension strategies; new product development	Product life cycle
8	**Product: Portfolio Analysis**	3.3.4	Boston Matrix and its value	Boston Matrix
9	**Price**	3.3.4	Influences on pricing; penetration and skimming; dynamic pricing	
10	**Promotion**	3.3.4	Promotional mix; branding; social media; viral marketing	
11	**Place, People, Process & Physical Environment**	3.3.4	Distribution and multi-channel; the extended mix	
12	**Digital Marketing & E-commerce**	3.3.4	Value of digital marketing and e-commerce; relationship marketing; technology and ethics	

Unit 3.4 Operational management

KO	Knowledge organiser	Spec	What it covers	Calculations / models
1	**Operational Objectives**	3.4.1	Cost, quality, speed of response, flexibility, environmental objectives, added value	
2	**Operations Data**	3.4.2	Calculating and using operations data	Labour productivity, unit costs, capacity, capacity utilisation
3	**Capacity**	3.4.3	Importance of capacity; using it efficiently; under- and over-utilisation	Capacity utilisation
4	**Efficiency, Productivity & Technology**	3.4.3	Increasing efficiency and labour productivity and the difficulties; labour- v capital-intensive; technology	Labour productivity
5	**Lean Production & Just in Time**	3.4.3	Benefits and difficulties of lean production; JIT v just in case	
6	**Quality**	3.4.4	Quality assurance v quality control; benefits and difficulties; consequences of poor quality	
7	**Matching Supply to Demand**	3.4.5	Outsourcing, temporary and part-time staff, producing to order	
8	**Inventory Control**	3.4.5	Inventory control charts; lead time; re-order level; buffer inventory; re-order quantity	Inventory control chart
9	**Suppliers & Supply Chains**	3.4.5	Choosing suppliers; managing the supply chain; value of outsourcing	

Unit 3.5 Financial management

KO	Knowledge organiser	Spec	What it covers	Calculations / models
1	**Financial Objectives**	3.5.1	Value of financial objectives; ROI; revenue, cost, profit and cash flow objectives	Return on investment
2	**Cash Flow v Profit & the Three Measures of Profit**	3.5.1	Distinction between cash flow and profit; gross profit, operating profit, profit for the year	Gross profit, operating profit, profit for the year
3	**Budgets & Variances**	3.5.2	Constructing and analysing budgets; value of budgeting; adverse and favourable variances	Variances
4	**Cash Flow Forecasts**	3.5.2	Constructing and analysing forecasts; timing of inflows and outflows; payables and receivables	Net cash flow, closing balance
5	**Break-even**	3.5.2	Break-even charts; contribution; margin of safety	Contribution per unit, total contribution, break-even output, margin of safety
6	**Break-even: Changes & Value**	3.5.2	Effects of changes in price, output and cost; value of break-even analysis	Break-even chart changes
7	**Profitability**	3.5.2	Margin analysis and using data for decisions	Gross, operating and profit for the year margins
8	**Sources of Finance**	3.5.3	Internal and external; short and long term; debt factoring, overdrafts, retained profit, share capital, loans, venture capital, crowdfunding	
9	**Improving Cash Flow**	3.5.4	Methods of improving cash flow and the difficulties	
10	**Improving Profit & Profitability**	3.5.4	Methods of improving profit and profitability and the difficulties	

Unit 3.6 Human resource management

KO	Knowledge organiser	Spec	What it covers	Calculations / models
1	**HR Objectives & Approaches**	3.6.1	Engagement, talent development, training, diversity, alignment of values, number, skills and location of staff; soft and hard HRM	
2	**HR Data**	3.6.2	Calculating, interpreting and using HR data	Labour turnover, labour productivity, employee costs as % of turnover, labour cost per unit
3	**Organisational Structures**	3.6.3	Functional, product-based, regional and matrix structures	
4	**Organisational Design**	3.6.3	Authority, span, hierarchy, delegation, centralisation and decentralisation; value of changing design	
5	**Human Resource Flow**	3.6.3	HR plan, recruitment, training, redeployment and redundancy	
6	**Motivation Theory**	3.6.4	Benefits of motivated and engaged staff; Taylor, Maslow, Herzberg	Taylor, Maslow, Herzberg
7	**Financial Methods of Motivation**	3.6.4	Piece rate, commission, salary schemes, performance-related pay; influences on choice	

Unit 3.6 Human resource management

KO	Knowledge organiser	Spec	What it covers	Calculations / models
8	**Non-financial Methods of Motivation**	3.6.4	Empowerment, team working, flexible working, job enrichment, job rotation; influences on choice	
9	**Employer-Employee Relations**	3.6.5	Employee involvement; trade unions and works councils; communication; value of good relations	

Unit 3.7 Analysing the strategic position of a business

KO	Knowledge organiser	Spec	What it covers	Calculations / models
1	**Mission, Objectives & Strategy**	3.7.1	Influences on mission; links between mission, objectives and strategy; strategy v tactics; strategic and functional decisions	
2	**Influences on Objectives & SWOT**	3.7.1	Internal and external influences; short-termism; ownership; value of SWOT	SWOT
3	**Financial Statements & Ratios**	3.7.2	Balance sheet and income statement; profitability, liquidity and gearing	ROCE, current ratio, gearing
4	**Efficiency Ratios & the Value of Ratios**	3.7.2	Comparing over time and with other businesses; limitations	Payables days, receivables days, inventory turnover
5	**Overall Performance**	3.7.3	Operations, HR and marketing data; core competences; short- and long-term performance; Triple Bottom Line	Elkington's Triple Bottom Line
6	**Political & Legal Change**	3.7.4	Competition, labour market and environmental law; enterprise policy, regulators, infrastructure, environment, international trade	
7	**Economic Change**	3.7.5	GDP, taxation, exchange rates, inflation, fiscal and monetary policy, open trade v protectionism	Interpreting economic data
8	**Social Change**	3.7.6	Demographic change and migration; lifestyle and buying behaviour; growth of online businesses	
9	**Corporate Social Responsibility**	3.7.6	Reasons for and against CSR; stakeholder v shareholder concept; pressures for socially responsible behaviour	Carroll's CSR pyramid
10	**Technological Change**	3.7.6	Impact of technological change on functional areas and strategy	
11	**Porter's Five Forces**	3.7.7	Barriers to entry, buyer power, supplier power, rivalry, substitutes; how forces change; implications for strategy and profit	Porter's five forces
12	**Investment Appraisal: Payback & ARR**	3.7.8	Calculating and interpreting payback and ARR	Payback, ARR
13	**Investment Appraisal: NPV & Other Factors**	3.7.8	Net present value; investment criteria; non-financial factors; risk and uncertainty	NPV

Unit 3.8 Choosing strategic direction

KO	Knowledge organiser	Spec	What it covers	Calculations / models
1	**Choosing Markets & Products**	3.8.1	Factors influencing which markets and products; reasons for and value of different directions	
2	**Ansoff's Matrix**	3.8.1	Market penetration, market development, new product development, diversification	Ansoff's matrix
3	**Porter's Generic Strategies**	3.8.2	Low cost, differentiation, focus; influences on positioning strategy	Porter's generic strategies
4	**Competitive Advantage**	3.8.2	Benefits of a competitive advantage; difficulties of maintaining it	

Unit 3.9 Strategic methods: how to pursue strategies

KO	Knowledge organiser	Spec	What it covers	Calculations / models
1	**Growth & Retrenchment**	3.9.1	Reasons to grow or retrench; organic v external growth; impact on functional areas	
2	**Economies, Diseconomies & Overtrading**	3.9.1	Technical, purchasing, managerial economies; economies of scope; diseconomies; synergy; overtrading	
3	**Methods & Types of Growth**	3.9.1	Mergers, takeovers, ventures, franchising; vertical (backward and forward), horizontal, conglomerate integration	
4	**Innovation**	3.9.2	Pressures for innovation; product and process; value; impact on functional areas	
5	**Becoming Innovative & Protecting Ideas**	3.9.2	Kaizen, R&D;, intrapreneurship, benchmarking; patents and copyright	
6	**Globalisation & Emerging Economies**	3.9.3	Reasons for and importance of globalisation; importance of emerging economies	
7	**Entering International Markets**	3.9.3	Reasons to trade internationally; attractiveness of markets; exporting, licensing, alliances, direct investment; multinationals	
8	**Producing Abroad & Managing International Business**	3.9.3	Off-shoring and re-shoring; influences on buying, selling and producing abroad; local responsiveness v cost reduction	
9	**Digital Technology**	3.9.4	Pressures to adopt; automation, e-commerce, big data, data mining; value of digital technology	

Unit 3.10 Managing strategic change

KO	Knowledge organiser	Spec	What it covers	Calculations / models
1	**Causes & Types of Change**	3.10.1	Internal, external, incremental and disruptive change; value of change	Lewin's force field analysis
2	**Flexible Organisations & Knowledge**	3.10.1	Restructuring, delayering, flexible contracts, organic v mechanistic; managing information and knowledge	
3	**Resistance to Change**	3.10.1	Barriers to change and how to overcome them	Kotter and Schlesinger
4	**Organisational Culture**	3.10.2	Importance of culture; influences; reasons for and problems of changing culture	Handy's cultures

Unit 3.10 Managing strategic change

KO	Knowledge organiser	Spec	What it covers	Calculations / models
5	**Implementing Strategy**	3.10.3	Leadership, communication and structure in implementation	
6	**Network Analysis**	3.10.3	Interpreting and amending network diagrams; critical path; total float; value	Critical path, total float
7	**Why Strategies Fail**	3.10.4	Difficulties of strategic decisions; planned v emergent strategy; strategic drift; evaluating performance	
8	**Strategic & Contingency Planning**	3.10.4	Value of strategic planning; contingency planning and crisis management	